

# AMD FY2026 Q2 Earnings Preview

Expected report: August 4, 2026 after close | Call: 17:00 ET | Worked example

Core View

The market already discounts strong AI and server growth. Meeting headline consensus alone may not be enough. The decision framework therefore gives the greatest weight to Q3 guidance, data-center mix, and profitability, with explicit veto gates for a weak guide, margin break, or launch delay.

## 1 Consensus, Guidance, and Information State

| Metric                     | Consensus                 | Management Q2 Guide | Decision Use       |
|----------------------------|---------------------------|---------------------|--------------------|
| Revenue                    | \$11.28B                  | \$11.2B +/- \$0.3B  | Headline range     |
| Non-GAAP EPS               | \$1.55                    | No explicit guide   | Earnings quality   |
| Non-GAAP gross margin      | No reliable public figure | About 56%           | Profitability gate |
| Non-GAAP operating expense | No reliable public figure | About \$3.3B        | Expense leverage   |
| Diluted shares             | -                         | About 1.66B         | EPS bridge         |

| REPORTED                                  | GUIDED                                      | ESTIMATED                                    |
|-------------------------------------------|---------------------------------------------|----------------------------------------------|
| Prior-quarter statements and filing facts | Explicit management targets and commitments | Consensus or analyst judgment; label clearly |

## 2 Normalized Baseline and Prior Signals

| Metric              | Prior Reported | Normalization / Quality Check                 | Q2 Hurdle                  |
|---------------------|----------------|-----------------------------------------------|----------------------------|
| Data-center revenue | \$5.8B         | Separate EPYC CPU and Instinct GPU mix        | At least about \$6.4B      |
| Gross margin        | Latest filing  | Isolate launch, supply, and component effects | About 56%; <55.5% veto     |
| Operating expense   | Latest filing  | Separate recurring R&D; from launch items     | About \$3.3B; +5% risk     |
| Free cash flow      | \$2.566B       | Bridge OCF, working capital, and capex        | Quality, not headline only |

Normalization rule: Every adjustment is analyst judgment. Reconcile reported operating profit to adjusted earnings and distinguish recurring operations from foreign exchange, investment marks, taxes, and other non-operating items.

Known: Revenue midpoint implies about 46% year-over-year and 9% sequential growth; management expects double-digit sequential data-center growth.

Unresolved: Instinct contribution, Q3 acceleration, MI450/Helios volume timing, expense leverage, and the working-capital cost of capacity expansion.

Sources: DefeatBeta AMD FY2026 Q1 transcript and quarterly statements; Benzinga consensus. All figures are illustrative template content and must be replaced.

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## 3 Weighted Decision Model

| Ranked Dimension               | Weight | Bull Evidence                          | Bear Evidence                          |
|--------------------------------|--------|----------------------------------------|----------------------------------------|
| Q3 revenue guidance            | 25%    | Material raise                         | At least 5% below consensus            |
| Data-center revenue and mix    | 25%    | At least \$6.7B; Instinct visible      | Below about \$6.3B                     |
| Gross margin and OpEx          | 20%    | GM at least 56.5%; leverage            | GM below 55.5% or OpEx +5%             |
| EPS and earnings quality       | 15%    | \$1.70-\$1.85; operating-led           | More than 10% miss or low-quality      |
| Cash conversion and capex      | 10%    | Strong OCF; controlled working capital | FCF depends on working-capital release |
| MI450/Helios commercialization | 5%     | Volume timing and customers quantified | Schedule slips one quarter             |

Score: assign -2 to +2 to each dimension. Weighted score =  $\text{sum}(\text{weight} \times \text{score} / 2)$ , from -1.0 to +1.0. Weights total 100%.

## 4 Scenario Scorecard and Bear Veto Gates

| Scenario | Decision Rule                            | Revenue Reference | EPS Reference | Reaction     |
|----------|------------------------------------------|-------------------|---------------|--------------|
| Bull     | Score $\geq +0.35$ ; no veto             | \$11.6B-\$11.9B   | \$1.70-\$1.85 | +15% to +25% |
| Base     | $-0.35 < \text{score} < +0.35$ ; no veto | \$11.25B-\$11.5B  | \$1.55-\$1.65 | -8% to +8%   |
| Bear     | Score $\leq -0.35$ or any veto           | Not required      | Not required  | -20% to -30% |

### Bear veto gates

- Q3 revenue guidance is at least 5% below then-current consensus.
- Non-GAAP gross margin is below 55.5%.
- Non-GAAP EPS misses by more than 10%, or OpEx exceeds guidance by more than 5%.
- MI450/Helios volume schedule slips by at least one quarter.

Mixed-signal validation: Revenue = Base (0), cash conversion = Bull (+2), profitability = Bear (-2). The pre-veto score can remain Base, but gross margin below 55.5% triggers a unique Bear outcome.

## 5 Catalysts by Commercial Maturity

| Catalyst         | Current Evidence Level                 | What Makes It Financially Material                   |
|------------------|----------------------------------------|------------------------------------------------------|
| MI450 / Helios   | Technical progress / customer sampling | Volume shipments, named adoption, recognized revenue |
| Data-center mix  | Operating scale                        | Instinct contribution and margin disclosed           |
| EPYC share gains | User adoption / commercial             | Sustained revenue, pricing, and operating leverage   |

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## 6 Trading Setup and Historical Reactions

| July 10 Close | Since Prior Earnings | Since April 1 | Average Abs. Reaction |
|---------------|----------------------|---------------|-----------------------|
| \$557.89      | +57.0%               | +165.4%       | About 11.2%           |

| Period    | Earnings-Day Close | Next-Day Close | Next-Close Reaction |
|-----------|--------------------|----------------|---------------------|
| FY2025 Q2 | 174.31             | 163.12         | -6.4%               |
| FY2025 Q3 | 250.05             | 256.33         | +2.5%               |
| FY2025 Q4 | 242.11             | 200.19         | -17.3%              |
| FY2026 Q1 | 355.26             | 421.39         | +18.6%              |

Options: As of July 10, 2026, August 7 ATM implied volatility was about 81.2%, implying an approximately +/-22.5% move through expiration. This is a term move, not a pure overnight earnings move.

## 7 Ten-Minute Release Checklist

| Elapsed Time | Read                                    | Decision                                  |
|--------------|-----------------------------------------|-------------------------------------------|
| 0-2 min      | Revenue, EPS, Q3 guide, veto gates      | Flag any veto immediately                 |
| 2-5 min      | Segments, mix, GM, OpEx, one-time items | Build normalized profit bridge            |
| 5-8 min      | OCF, working capital, capex, FCF        | Test cash quality and capital intensity   |
| 8-10 min     | Milestones, adoption, revenue evidence  | Score each dimension; assign one scenario |

## 8 Tracking, Sources, and Risk

| When            | Update                                                          |
|-----------------|-----------------------------------------------------------------|
| One week before | Refresh consensus, price, options, and company disclosures      |
| Day before      | Freeze weights, thresholds, veto gates, and observation windows |
| After release   | Record scores, vetoes, final scenario, and forecast errors      |

AMD Investor Relations | Benzinga Estimates | Options Analysis Suite | DefeatBeta

Risk disclosure: Consensus and options data change continuously. Scenario ranges and normalizations reflect analyst judgment and are not investment advice.